

FILANTO SpA V. CHILEWICH INTERNATIONAL CORP.



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Filanto, SpA v. Chilewich International Corp.

Citation: 789 F. Supp. 1229 (1992)
Court: United States, District Court,
Southern District of New York



PLAINTIFF



Filanto S.p.A.

an Italian corporation that
manufactures and distributes shoes

DEFENDANT



Chilewich International Corp.

an export-import firm incorporated
in New York



FACTS

FACTS

Filanto and Chilewich signed an agreement that **obligated Filanto to deliver** 250,000 pairs of boots to Chilewich to fulfill the Russian Contract.

A dispute arose between Chilewich and Filanto. Plaintiff Filanto brought an action seeking for the arbitration provisions of the Russian Contract to be enjoined or for an arbitration to be held in **New York**. Defendant Chilewich filed a motion to stop the proceedings, pending arbitration in the **Soviet Union**.

WHAT HAPPENED?

Russian Contract

required all future disputes to be settled by the Arbitration at the USSR Chamber of Commerce and Industry, in **Moscow**

Feb 1989

Filanto requested to **exclude the provision of the Russian Contract**.

Chilewich claimed **not to have received** this appeal.

Sept 1989

July 1989

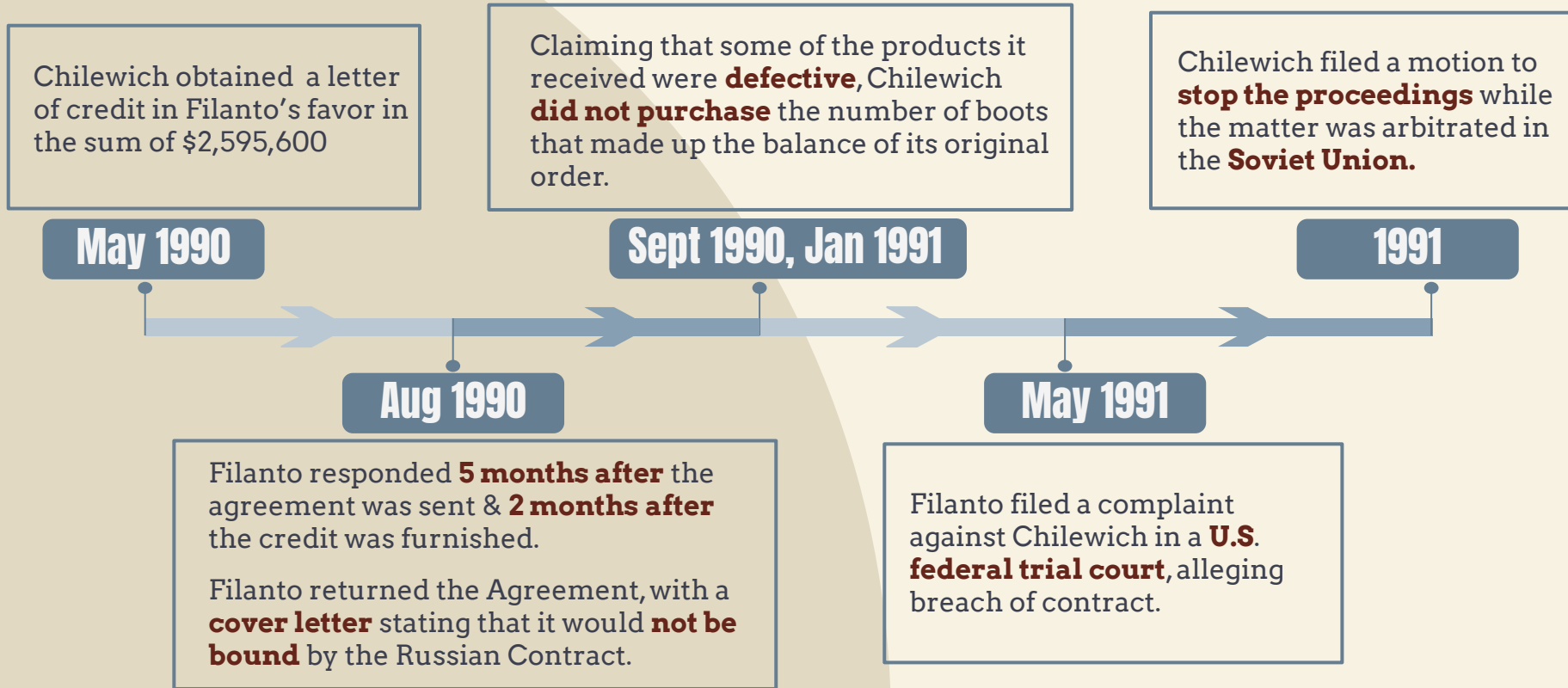
The purchase contract sent by Chilewich to Filanto was governed by **the Russian Contract**

March 1990

Memorandum Agreement

- to confirm that Filanto was to deliver a total of 250,000 pairs of boots to Chilewich
- referred to the Russian Contract

WHAT HAPPENED?



02.

ISSUE



Whether, under the CISG, the parties were bound to a contract provision requiring arbitration of any contractual disputes in Russia



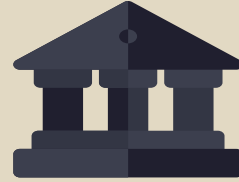
Should the U.S. District Court issue a mandatory injunction for the parties to arbitrate in Moscow, as provided in an **arbitration clause** in a contract between the defendant & a Russian economic association?

03.

RULES



ARBITRATION CLAUSE



A clause **in a contract** requiring that disputes between the **parties** should be settled by arbitration

→ **USSR Chamber of Commerce and Industry in Moscow**

APPLIED RULES



DOMESTIC: the U.S. 

**Uniform Commercial Code
(UCC)**

- Article 2-207

→ Sale of Goods in the U.S.
(identifiable & moveable)

INTERNATIONAL 

**United Nations Convention on
Contracts for the International
Sale of Goods (CISG)**

- Article 18(1)
- Article 19(1), (2), (3)

04.

APPLICATION



COURT'S ANALYSIS



INTENT TO BE BOUND

- focused on indications to be bound to the **arbitration provision**



APPLICATION OF CISG

- because the contracts are formed **after** CISG was established

MEMORANDUM AGREEMENT DATED MARCH 13

I. Defendant CHILEWICH: “it was an **offer**”

= offeror's **affirmation** to be **bound** to the transaction

III. “**Receipt Rule**” of CISG

= Plaintiff **Filanto** has the **responsibility** for the **delayed (missing)** response

II. “**Article 18(1)**” of CISG

“A statement made by or other conduct to the offeree indicating assent to an offer is an acceptance”

∴ Plaintiff Filanto had the **responsibility to inform** his objection to Chilewich in a **timely manner**

PROPOSAL FOR MODIFICATION of the March 13 Agreement

Filanto's return of the Agreement +
cover letter

=> **INEFFECTIVE**

Chilewich viewed these as ...

1. **a proposal for modification** of the March 13 Agreement
2. Rejected this proposal with two letters
 - **(Filanto acknowledge to have received this proposal)**

∴ Filanto must arbitrate

WHY NOT UNIFORM COMMERCIAL CODE **ARTICLE 2-207?**

Agrees the Memorandum Agreement, but characterizes as a counter offer

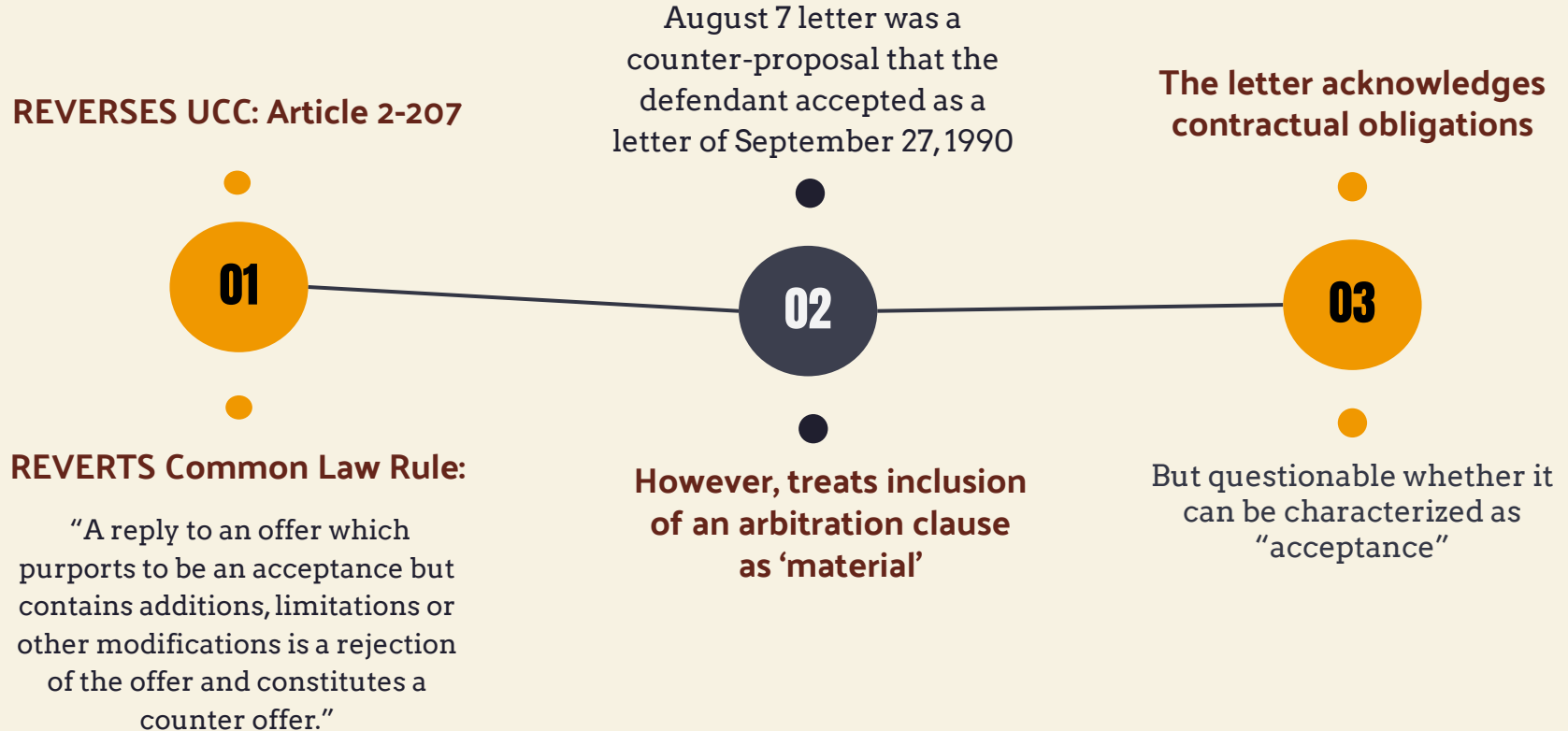
**FILANTO
(PLAINTIFF)**

This measure is regarded as acceptance with Uniform Commercial Code:
Article 2-207

**CHILEWICH
(DEFENDANT)**

However, the UCC does not apply :
State Department undertook to fix some segments to help create the CISG

SALE OF GOODS CONVENTION **ARTICLE 19(1)**



COURT'S INTERPRETATION

BASED ON CISG:

1. There was indeed a **consensus to arbitrate** between the two parties
2. There is **no satisfactory explanation**: why did the plaintiff fail to refer to the Russian Contract in a timely manner?

"An offeree who, knowing that the offeror has commenced performance, fails to notify the offeror of its objection to the terms of the contract within a reasonable time will, under certain circumstances, be deemed to have assented to those terms."

"[i]n determining the intent of a party ... due consideration is to be given to ... any subsequent conduct of the parties."

Filanto's Letter

Clearly relies on Contract -
Article 9

Specifies the partial performance of the contract which is **strong evidence** that the **Plaintiff recognizes itself to be bound** by all provisions of the Russian Contract.

**PLAINTIFF SHOULD MEDIATE THE DISPUTE IN MOSCOW:
BOUND BY THE TERMS OF MARCH 13**

05.

CONCLUSION



CONCLUSION

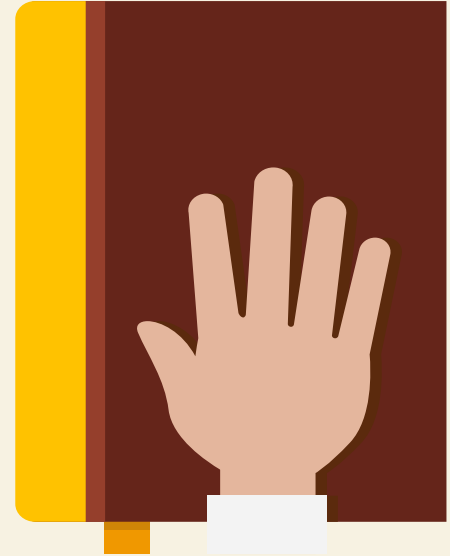
“ Filanto is bound to the contract ”

“ Arbitration clause was part of the contract ”

**∴ Plaintiff Filanto and Defendant Chilewich
MUST arbitrate their dispute in Moscow**

06.

CASEPOINT & SIGNIFICANCE





UCC vs. CISG



UCC § 2-207: ACCEPTANCE & MODIFICATION PROPOSAL

CISG § 18: (traditional) ACCEPTANCE if no notice of objection

Silence / inactivity **X**

Past dealings between the offeror & offeree **O**

Filanto & Chilewich in CISG signatory countries

→ **CISG governs the contract at issue**

Plaintiff Filanto

- Copy of the Russian contract & Aware of the terms
- Used Section 9 of the Russian Contract

→ Bound by the Memorandum Agreement (Moscow arbitration clause)

Filanto's motion to enjoin or move arbitration denied



THANK YOU!

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